

Answer saved

🚩 Flag question

Why is the cost of debt adjusted for tax?

- ☐ a. Preference dividends are tax-free
- ☒ b. Interest expense reduces taxable income
- ☐ c. Dividends are tax-deductible
- ☐ d. Equity holders receive tax benefits

[Clear my choice](#)

Next page

What is Activity-Based Costing (ABC)?

- ☒ a. In ABC Some manufacturing costs may be excluded from product costs
- ☐ b. In ABC only manufacturing costs may be assigned to products, but only on a cause-and-effect basis.
- ☐ c. Costing method that assigns overhead and indirect costs to unrelated products and services.
- ☐ d. In ABC only limited overhead cost pools are used, each of which is allocated to products and other cost objects using its own unique measure of activity

[Clear my choice](#)

Donald's Engine Company manufactures part TE456 used in several of its engine models. Monthly production costs for 1,000 units are as follows: Direct materials: \$20,000; Direct labor: \$5,000; Variable overhead costs: \$15,000; Fixed overhead costs: 10,000; Total costs: \$50,000. It is estimated that 10% of the fixed overhead costs assigned to TE456 will no longer be incurred if the company purchases TE456 from the outside supplier. Donald's Engine Company has the option of purchasing the part from an outside supplier at \$42.50 per unit. If Donald's Engine Company accepts the offer from the outside supplier, the monthly avoidable costs (costs that will no longer be incurred) total:

- ☒ a. \$ 41,000
- ☐ b. \$ 49,000
- ☐ c. \$ 50,000
- ☐ d. \$ 25,000

[Clear my choice](#)

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Question **4**

Answer saved

🚩 Flag question

According to the Dividend Irrelevance Theory, dividend policy affects:

- ☐ a. Firm value only in the short run
- ☐ b. Firm value positively
- ☐ c. Firm value negatively
- ☒ d. Does not affect firm value

Clear my choice

Question **5**

Answer saved

🚩 Flag question

In a business combination in which an acquiring company purchases 100 percent of the outstanding common stock of another company, if the fair value of the net identifiable assets acquired exceeds the fair value of the consideration given, the excess should be reported as a

- ☐ a. Pro rata reduction of the values assigned to current and noncurrent
- ☐ b. Deferred credit.
- ☒ c. No answer.
- ☐ d. Reduction of the values assigned to current assets and a deferred credit for any unallocated portion.

[Clear my choice](#)

Question **6**

Answer saved

🚩 Flag question

A firm with high operating leverage will experience:

- ☐ a. Small changes in EBIT for large sales changes
- ☐ b. Lower business risk
- ☒ c. Large changes in EBIT for small sales changes
- ☐ d. No change in EBIT

[Clear my choice](#)

Question **7**

Answer saved

🚩 Flag question

A static budget is most useful when:

- ☐ a. Actual activity level differs significantly from budgeted activity level
- ☐ b. Costs are mostly variable in nature
- ☐ c. The firm operates in a highly volatile environment
- ☒ d. Actual activity level is very close to the budgeted activity level

Clear my choice

Question **8**

Answer saved

🚩 Flag question

Which one of the following is not among the fundamental issue brought by IFRS 17?

- ☒ a. estimates need not to be updated to reflect the current market-based information
- ☐ b. measurement should reflect the time value of money
- ☐ c. discounting should reflect the characteristics of cash flow from the contract
- ☐ d. consistent accounting for all insurance companies and all insurance contracts

[Clear my choice](#)

Question **9**

Answer saved

🚩 Flag question

When should an entity recognize compensation expense for stock-based compensation with a performance condition and a service condition?

- ☒ a. Over the employee's service period
- ☐ b. At the point of exercising the stock-based compensation
- ☐ c. At the grant date
- ☐ d. At the fulfillment of the performance condition

Clear my choice

Question **10**

Answer saved

🚩 Flag question

According to MM Theory (with corporate tax), why does firm value increase with leverage?

- ☐ a. Because dividends are tax-free
- ☒ b. Because interest expense is tax-deductible
- ☐ c. Because equity becomes cheaper
- ☐ d. Because debt reduces business risk

[Clear my choice](#)

Question **11**

Answer saved

 Flag question

In which project, NPV and IRR methods arrives the same conclusion of the acceptance or rejection of a particular project?

- ☒ a. Independent project.
- ☐ b. Mutually exclusive projects.
- ☐ c. Dependent projects.
- ☐ d. In all project

[Clear my choice](#)

Question **12**

Answer saved

 Flag question

Which standard explicitly disallows LIFO under IFRS?

- ☒ a. IAS 2
- ☐ b. IFRS 15
- ☐ c. IAS 1
- ☐ d. IAS 7

[Clear my choice](#)

Answer saved

🚩 Flag question

ABC Company's beginning inventories are 300 units @ 10 Birr, during a period purchase of 10,000 units @ 15 Birr and sales 8,000 units @ 30 Birr was made. If ABC sold 100 units of its beginning inventories and the remaining from current purchase, cost of its ending inventories is

- ☒ a. 35,000 Birr
- ☐ b. 46,000 Birr
- ☐ c. 69,000 Birr
- ☐ d. 2,300 Birr

Clear my choice

Question **14**

Answer saved

🚩 Flag question

When using the allowance method, as bad debt expense is recorded,

- ☒ a. Total assets decrease and stockholders' equity decreases.
- ☐ b. Total assets increase and stockholders' equity decreases.
- ☐ c. Total liabilities increase and stockholders' equity decreases
- ☐ d. Total assets remain the same and stockholders' equity remains the same.

Clear my choice

Question **15**

Answer saved

🚩 Flag question

Under inflationary conditions, what effect does LIFO have on financial statements?

- ☒ a. Higher cost of goods sold and lower profit
- ☐ b. Lower cost of goods sold and higher profit
- ☐ c. No impact on profit
- ☐ d. Higher profit and higher inventory value

Clear my choice

Question **16**

Answer saved

 Flag question

Which of the following events not recorded in the accounting records?

- ☒ a. Discuss product design with potential customer
- ☐ b. None of the above
- ☐ c. Purchase computer
- ☐ d. Pay rent

[Clear my choice](#)

Question **17**

Answer saved

 Flag question

Under MM Theory (without tax), what happens to the cost of equity as leverage increases?

- ☒ a. It increases
- ☐ b. It becomes zero
- ☐ c. It decreases
- ☐ d. It remains constant

[Clear my choice](#)

Question **18**

Answer saved

 Flag question

Which measure captures the effect of sales changes on EPS due to debt financing?

- ☐ a. Current Ratio
- ☒ b. Degree of Financial Leverage (DFL)
- ☐ c. Degree of Operating Leverage (DOL)
- ☐ d. Contribution Margin Ratio

[Clear my choice](#)

Answer saved

🚩 Flag question

A bond issued to construct great Ethiopian renaissance dam is considered as Other Financing Source in the:

- ☐ a. Enterprise fund general journal.
- ☒ b. Capital projects fund general journal.
- ☐ c. Governmental activities general journal.
- ☐ d. Debt service fund general journal.

[Clear my choice](#)

Question **20**

Answer saved

🚩 Flag question

Which of the following is the most effective control procedure to detect vouchers that were prepared for the payment of goods that were not received?

- ☐ a. Compare goods received with goods requisitioned in receiving department.
- ☒ b. Match purchase order, receiving report, and vouchers invoice for each voucher in account payable department.
- ☐ c. Count goods upon receipt in storeroom.
- ☐ d. Verify vouchers for accuracy and approval in the internal audit department.

[Clear my choice](#)

Question **22**

Answer saved

🚩 Flag question

Which of the following is Pro-regulation?

- ☐ a. All of the above
- ☒ b. Enterprises should not be allowed to fail as this causes recessions and panics
- ☐ c. The investor must be protected
- ☐ d. Governments privatized assets that should have stayed nationalized and now they realize they do need to maintain control of them

Clear my choice

A debit balance in the Allowance for Doubtful Accounts

- ☐ a. Indicates that actual bad debt write-offs have been less than what was estimated.
- ☒ b. Indicates that actual bad debt write-offs have exceeded previous provisions for bad debts.
- ☐ c. Is the normal balance for that account?
- ☐ d. Cannot occur if the percentage of receivables method of estimating bad debts is used.

[Clear my choice](#)

Question **24**

Answer saved

🚩 Flag question

The legal framework that established the foundation for Ethiopia's capital market is:

- ☒ a. Capital Market Proclamation No. 1248-2021
- ☐ b. The Commercial Code of Ethiopia 1960
- ☐ c. Banking Business Proclamation No. 592-2008
- ☐ d. The Investment Proclamation No. 1180-2020

Clear my choice

[Back](#)

Question **25**

Answer saved

 [Remove flag](#)

Which of the following are not foreseen as users of an entity's financial accounting:

- ☐ a. Unpaid suppliers to the entity.
- ☐ b. Bankers to the entity.
- ☐ c. Shareholders of the entity.
- ☒ d. Managers of the entity.

[Clear my choice](#)

Question **26**

Answer saved

 Flag question

Which type of risk is essentially eliminated by diversification?

- ☐ a. Market risk
- ☐ b. Inflation risk
- ☐ c. Interest rate risk
- ☒ d. Unsystematic risk

[Clear my choice](#)



Answer saved

Flag question

According to the liquidity premium theory of interest rates,

- ☐ a. long-term spot rates are totally unrelated to expectations of future short-term rates
- ☐ b. the term structure must always be upward sloping
- ☐ c. investors prefer certain maturities and will not normally switch out of those maturities
- ☒ d. long-term spot rates are higher than the average of current and expected future short-term rates
- ☐ e. investors are indifferent between different maturities if the long-term spot rates are equal to the average of current and expected future short-term rates

[Clear my choice](#)

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Question **28**

Answer saved

🚩 Flag question

A  _____ is a standardized agreement to deliver or receive a specified amount of a specified financial instrument at a specified price and date though involves clearing house.

- ☐ a. Forward contract
- ☐ b. brokerage contract
- ☒ c. financial futures contract
- ☐ d. margin call

Clear my choice

Question **29**

Answer saved

🚩 Flag question

Advantages of Subsidiary Ledgers is:

- ☐ a. They show in a single account transaction affecting one customer or one creditor
- ☒ b. They help locate errors in individual accounts
- ☐ c. They make possible a division of labor in posting
- ☐ d. They free the chart of accounts excessive details

[Clear my choice](#)

[Back](#)Question **29**

Answer saved

[Flag question](#)

Advantages of Subsidiary Ledgers is:

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- ☐ d. They free the chart of accounts excessive details

[Clear my choice](#)[Previous page](#)[Next page](#)[Announcements](#)

Under the Residual Dividend Theory,
dividends are paid:

- ☒ a. After all acceptable investment opportunities are funded
- ☐ b. Only if profits exceed previous dividends
- ☐ c. Before financing investments
- ☐ d. At a constant rate

[Clear my choice](#)

Hana and Yosef invest \$100,000 and \$50,000, respectively, in a partnership and agree to a division of net income that provides for an allowance of interest at 10% on original investments, Hana received salary allowances of \$1,000 per month, with the remainder divided equally. What would be Yosef, share of a net income of \$45,000?

- ☐ a. \$29,000
- ☒ b. \$14,000
- ☐ c. \$37,000
- ☐ d. \$8,000

[Clear my choice](#)

Question **32**

Answer saved

Flag question

Which theory argues that investors prefer low dividends due to tax advantages on capital gains?

- ☐ a. Dividend Irrelevance Theory
- ☐ b. Bird-in-the-Hand Theory
- ☐ c. Residual Theory
- ☒ d. Tax Preference Theory

[Clear my choice](#)[Previous page](#)[Next page](#)[← Announcements](#)

An inventory costing method in which companies obtain the cost of the ending inventory by taking the unit cost of the most recent purchase and working back ward until all units of inventory have been covered is:

- ☒ a. First-In-First-Out method
- ☐ b. Weighted average method
- ☐ c. specific identification method

[Clear my choice](#)

Which of the following is an investment property?

- ☐ a. Owner-occupied property awaiting disposal.
- ☒ b. Property that is being constructed and developed as investment property.
- ☐ c. Property held for future development and subsequent use as owner-occupied property.
- ☐ d. Property being constructed or developed on behalf of third parties.

[Clear my choice](#)

Which of the following is an investment property?

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- ☐ c. Property held for future development and subsequent use as owner-occupied property.
- ☐ d. Property being constructed or developed on behalf of third parties.

[Clear my choice](#)

Tear Company, a newly established subsidiary of Stern Corporation, received assets with an original cost of \$260,000, a fair value of \$200,000, and a book value of \$140,000 from the parent in exchange for 7,000 shares of Tear's \$8 par value common stock. Tear should record

- ☐ a. Additional paid-in capital of \$204,000
- ☒ b. Share premium of \$144,000.
- ☐ c. Additional paid-in capital of \$84,000.
- ☐ d. Share premium of \$0.

[Clear my choice](#)



Question 33

Answer saved

Flag question

Tear Company, a newly established subsidiary of Stern Corporation, received assets with an original cost of \$260,000, a fair value of \$200,000, and a book value of \$140,000 from the parent in exchange for 7,000 shares of Tear's \$8 par value common stock. Tear should record

- ☐ a. Additional paid-in capital of \$204,000
- ☒ b. Share premium of \$144,000.
- ☐ c. Additional paid-in capital of \$84,000.
- ☐ d. Share premium of \$0.

[Clear my choice](#)[Previous page](#)[Next page](#)[← Announcements](#)[Jump to](#)

Question **36**

Answer saved

 Flag question

The reconciling item in a bank reconciliation that will result in an adjusting entry by the depositor:

- ☐ a. A bank errors
- ☒ b. Bank service charges
- ☐ c. Outstanding checks
- ☐ d. Deposit in transit

[Clear my choice](#)



Answer saved

🚩 Flag question

When inventory declines in value below original (historical) cost what is the maximum amount that the inventory can be valued at?

- ☒ a. Net realizable value
- ☐ b. Sales price
- ☐ c. Sales price reduced by estimated costs to sell
- ☐ d. Historical cost

Clear my choice

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Which of the following does the Conceptual Framework identify as the primary users of general-purpose financial reports?

- ☒ a. Existing and potential investors, lenders and other creditors.
- ☐ b. Existing and potential investors, government agencies and the general public.
- ☐ c. Employees, investors and trade union representatives.
- ☐ d. Lenders and other creditors and customers.

[Clear my choice](#)

Which of the following is true with respect to long-term debt?

- ☒ a. Resources transferred to the debt service fund from the General Fund would typically be classified as Other Financing Sources by the debt service fund.
- ☐ b. If bonds supporting a capital project are issued at a premium, typically the premium may be used on capital expenditures.
- ☐ c. If a sinking fund is required by creditor or law, the unexpended resources of its debt service fund would be classified as appropriation.
- ☐ d. Term bonds mature in equal installments over the term of the bond.

[Clear my choice](#)

Question **40**

Answer saved

🚩 Flag question

The overall objective in the audit of the acquisition and payment cycle is:

- ☒ a. To evaluate whether the affected accounts are fairly stated in accordance with IFRS.
- ☐ b. To ensure the accuracy of the affected accounts.
- ☐ c. To evaluate whether fraudulent payments were made.
- ☐ d. To ensure the reliability of the affected accounts.

Clear my choice

A deferred tax liability is classified on the balance sheet as either a current or a noncurrent liability. The current amount of a deferred tax liability should generally be

- ☐ a. totally eliminated from the financial statements if the amount is related to a noncurrent asset.
- ☒ b. based on the classification of the related asset or liability for financial reporting purposes.
- ☐ c. the net deferred tax consequences of temporary differences that will result in net taxable amounts during the next year.
- ☐ d. the total of all deferred tax consequences that are not expected to reverse in the operating period or one year, whichever is greater

[Clear my choice](#)

Question **42**

Answer saved

🚩 Flag question

An audit which is compulsory by the law

_____.

- ☐ a. Government audit
- ☐ b. Compliance audit
- ☒ c. Statutory audit
- ☐ d. Internal audit

Clear my choice

Question **43**

Answer saved

🚩 Flag question

Which of the following statements correctly describes the reporting of cash?

- ☐ a. Restricted cash may be combined with cash.
- ☐ b. Restricted cash can't report as current asset
- ☒ c. Cash is listed last in the current assets.
- ☐ d. Cash cannot be combined with cash equivalents.

Clear my choice

Question **44**

Answer saved

🚩 Flag question

Which of the following is/are incorrect regarding the significance of public policy?

- ☐ a. It helps how the underdeveloped countries utilize their resources optimally.
- ☒ b. It controls inflation with tolerable level, since inflation mostly affects the rich people.
- ☐ c. It brings balanced regional development.
- ☐ d. It satisfies social and merit wants.

[Clear my choice](#)

Question 45

Answer saved

🚩 Flag question

Able Towing plc purchased a tow truck for £60,000 on January 1, 2015. It was originally depreciated on a straight-line basis over 10 years with an assumed residual value of £12,000. On December 31, 2017, before adjusting entries had been made, the company decided to change the remaining estimated life to 4 years and the residual value to £2,000. What was the depreciation expense for 2017?

- ☐ a. £15,000.
- ☐ b. £6,000.
- ☒ c. £12,100
- ☐ d. £4,800.

[Clear my choice](#)

Question **47**

Answer saved

🚩 Flag question

Which of the following audit phases would generally be conducted before all the others listed below?

- ☒ a. Gaining an understanding of the client's industry
- ☐ b. Consideration of internal control systems
- ☐ c. Evaluation of audit evidence
- ☐ d. Auditing business processes and related accounts

Clear my choice

Answer saved

🚩 Flag question

ABC Company has 20,000 shares of 1% cumulative preferred stock of \$100 par and 100,000 shares of \$50 par common stock. The following amounts were distributed as dividends: year 1: 10,000, Year 2: 45,000 & Year 3: 80,000. Dividends per share for preferred and common stock respectively for year 2 is:

- ☒ a. \$1.50 and \$0.15
- ☐ b. \$0.50 and None
- ☐ c. \$ 1.00 and \$ 0.15
- ☐ d. \$1.00 and \$0.60

[Clear my choice](#)

Question **48**

Answer saved

Flag question

ABC Company has 20,000 shares of 1% cumulative preferred stock of \$100 par and 100,000 shares of \$50 par common stock. The following amounts were distributed as dividends: year 1: 10,000, Year 2: 45,000 & Year 3: 80,000. Dividends per share for preferred and common stock respectively for year 2 is:

- ☒ a. \$1.50 and \$0.15
- ☐ b. \$0.50 and None
- ☐ c. \$ 1.00 and \$ 0.15
- ☐ d. \$1.00 and \$0.60

[Clear my choice](#)[Previous page](#)[Next page](#)[← Announcements](#)

Question **49**

Answer saved

🚩 Flag question

The cost of goods sold is determined and recorded each time a sale occurs in:

- ☐ a. Periodic inventory system only
- ☐ b. Both a periodic and perpetual inventory system
- ☒ c. A perpetual inventory system only
- ☐ d. Neither a periodic nor perpetual inventory system

[Clear my choice](#)

Question **50**

Answer saved

🚩 [Flag question](#)

Financial leverage relates to the use of:

- ☐ a. Fixed operating costs
- ☐ b. Variable costs
- ☐ c. Inventory management
- ☒ d. Debt financing

[Clear my choice](#)

Question **51**

Answer saved

🚩 Flag question

Which of the following represents the value of a levered firm under MM Theory with tax?

- ☐ a. Value of levered firm = Value of unlevered firm
- ☒ b. Value of levered firm = Value of unlevered firm + Tax shield
- ☐ c. Value of levered firm = Debt – Equity
- ☐ d. Value of levered firm = Value of unlevered firm – Tax shield

Clear my choice

Question **52**

Answer saved

🚩 Flag question

What is the primary regulatory body responsible for overseeing the Ethiopian capital market?

- ☒ a. Ethiopian Capital Market Authority (ECMA)
- ☐ b. National Bank of Ethiopia (NBE)
- ☐ c. Ethiopian Securities Exchange (ESX)
- ☐ d. Ministry of Finance and Economic Development

[Clear my choice](#)

Which of the following statements is CORRECT?

- ☐ a. A firm that makes 90% of its sales on credit and 10% for cash is growing at a constant rate of 10% annually. Such a firm will be able to keep its accounts receivable at the current level, since the 10% cash sales can be used to finance the 10% growth rate.
- ☐ b. Because of the costs of granting credit, it is not possible for credit sales to be more profitable than cash sales.
- ☐ c. Since receivables and payables both result from sales transactions, a firm with a high receivables-to-sales ratio must also have a high payables-to-sales ratio
- ☒ d. In managing a firm's accounts receivable, it is possible to increase credit sales per day yet still keep accounts receivable fairly steady, provided the firm can shorten the length of its collection period (its DSO) sufficiently.

Question **54**

Answer saved

🚩 Flag question

The year-end balance of accounts receivable on the books of a foreign subsidiary should be translated by the parent company for consolidation purposes at the:

- ☐ a. Negotiated rate
- ☒ b. Current rate
- ☐ c. Historical rate
- ☐ d. Average rate

Clear my choice

Question **55**

Answer saved

 Flag question

Which accounting rule serves as the primary basis for the lower-of-cost-or-market methodology for inventory valuation?

- ☐ a. optimism
- ☒ b. conservatism
- ☐ c. pessimism
- ☐ d. consistency

[Clear my choice](#)

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Question **56**

Answer saved

🚩 Flag question

On January 2, 20X3, Kean Company purchased a 30 percent interest in Pod Company for \$250,000. Pod reported net income of \$100,000 for 20X3 and declared and paid a dividend of \$10,000. Kean accounts for this investment using the equity method. In its December 31, 20X3, balance sheet, what amount should Kean report as its investment in Pod?

- ☐ a. \$340,000
- ☒ b. \$277,000
- ☐ c. \$223,000
- ☐ d. \$160,000

Clear my choice

Question **57**

Answer saved

🚩 Flag question

Adjustments for prepaid expenses:

- ☒ a. decrease assets and increase expenses.
- ☐ b. decrease revenues and increase assets.
- ☐ c. decrease assets and increase revenues.
- ☐ d. decrease expenses and increase assets.

Clear my choice

Under IFRS, which of the following statements accurately describes the classification of biological assets as bearer and consumable?

- ☐ a. Neither bearer nor consumable biological assets bear produce for more than one period.
- ☒ b. Bearer biological assets are those that can bear produce for more than one period, while consumable biological assets are those that bear produce for only one period.
- ☐ c. Both bearer and consumable biological assets bear produce for more than one period.
- ☐ d. Bearer biological assets are those that bear produce for only one period, while consumable biological assets are those that can bear produce for more than one period.

[Clear my choice](#)

Question **59**

Answer saved

 Flag question

The retail inventory method would include which of the following in the calculation of the goods available for sale at both cost and retail?

- ☒ a. purchases returns
- ☐ b. markups
- ☐ c. markdowns
- ☐ d. freight-in

[Clear my choice](#)



Answer saved

🚩 [Flag question](#)

The following information was taken from the 2011 financial statements of Jenny Gardner Corporation: Inventory, January 1, 2011 Birr 90,000 Inventory, December 31, 2011 Birr 120,000 Accounts payable, January 1, 2011 Birr 75,000 Accounts payable, December 31, 2011 Birr 120,000 Sales Birr 600,000 Cost of goods sold Birr 450,000 If the direct method is used in the 2011 statement of cash flows, what amount should Jenny Gardner report as cash payments to suppliers?

- ☐ a. Birr 495,000
- ☐ b. Birr 525,000
- ☐ c. Birr 465,000
- ☒ d. Birr 435,000

[Clear my choice](#)

Question **61**

Answer saved

🚩 Flag question

Financial institutions will function in economy by:

- ☐ a. Collect the savings of individuals and corporations and channel them to firms that use the money to finance their investments
- ☒ b. All of the above
- ☐ c. Facilitate the flow of funds from savers (surplus units) to borrowers (deficit units) in the most efficient manner.
- ☐ d. Provision of liquidity and the transformation of the risk characteristics of assets.

[Clear my choice](#)

Back

Question **62**

Answer saved

🚩 Flag question

What is a major drawback of LIFO that led to its prohibition under IFRS?

- ☐ a. It requires more disclosures
- ☐ b. It increases tax liabilities
- ☒ c. It can significantly understate ending inventory
- ☐ d. It understates cost of goods sold

Clear my choice

Back

Question **63**

Answer saved

🚩 Flag question

Under IFRS 11, how shall the joint venturer account for its Investment in Joint Venture?

- ☐ a. Proportionate consolidation
- ☐ b. Cost method
- ☐ c. Fair value method under IFRS 9
- ☒ d. Equity method

Clear my choice

Question **64**

Answer saved

 Flag question

Which of the following statements is true regarding static and flexible budgets?

- ☒ a. Static budgets are easier to prepare but less useful for performance evaluation when activity levels vary
- ☐ b. Flexible budgets do not allow variance analysis
- ☐ c. Static budgets are more useful than flexible budgets when actual output differs significantly from planned output
- ☐ d. Flexible budgets are prepared for only one level of activity

[Clear my choice](#)

Question **65**

Answer saved

🚩 Flag question

An accelerated depreciation system is used for tax purposes, and the straight-line depreciation method is used for financial reporting purposes is reported as?

- ☐ a. Either tax asset or liability
- ☐ b. Deferred Tax Asset
- ☐ c. Permanent Difference
- ☒ d. Deferred Tax Liability

[Clear my choice](#)

Question **66**

Answer saved

🚩 Flag question

Petty cash is used to _____.

- ☐ a. avoid having to use checks frequently
- ☐ b. avoid having to retain receipts because the amounts are very small
- ☐ c. avoid having to get approvals due to the small amount of cash being paid
- ☒ d. make small payments

Clear my choice



Question **67**

Answer saved

 Flag question

Which theory suggests that investors prefer dividends due to certainty

- ☒ a. Bird-in-the-Hand Theory
- ☐ b. Dividend Irrelevance Theory
- ☐ c. Tax Preference Theory
- ☐ d. Residual Dividend Theory

Clear my choice



Answer saved

🚩 Flag question

The primary reason that managers impose a minimum cash balance in the cash budget is

- ☐ a. Because management needs discretionary cash for unforeseen business opportunities.
- ☐ b. Managers lack discipline to control their spending.
- ☒ c. That it protects the organization from the uncertainty of the budgeting process.
- ☐ d. That it makes the financial statements look more appealing to creditors

Clear my choice

Question **68**

Answer saved

🚩 Flag question

The primary reason that managers impose a minimum cash balance in the cash budget is

- ☐ a. Because management needs discretionary cash for unforeseen business opportunities.
- ☐ b. Managers lack discipline to control their spending.
- ☒ c. That it protects the organization from the uncertainty of the budgeting process.
- ☐ d. That it makes the financial statements look more appealing to creditors

[Clear my choice](#)

Question **69**

Answer saved

 Flag question

A company declares a dividend on Monday, May 10. The date of record is set as Friday, May 28. If the ex dividend date is Wednesday, May 26, what is the last day an investor can buy the stock and still receive the dividend under the T+2 settlement rule?

- ☒ a. May 25
- ☐ b. May 26
- ☐ c. May 27
- ☐ d. May 28

[Clear my choice](#)

The carrying amount of an investment in stock correctly accounted for under the equity method is equal to

- ☒ a. The original price paid to purchase the investment plus cumulative net income minus cumulative dividends declared by the investee since the date the investment was acquired.
- ☐ b. The original price paid to purchase the investment.
- ☐ c. The original price paid to purchase the investment plus cumulative net income plus cumulative dividends declared by the investee since the date the investment was acquired.
- ☐ d. The original price paid to purchase the investment minus cumulative net income minus cumulative dividends declared by the investee since the date the investment was acquired.

Question **71**

Answer saved

🚩 Flag question

A corporation may purchase its own share of stock outstanding from the shareholder is called:

- ☐ a. Un issued share
- ☒ b. Treasury stock
- ☐ c. Authorized share
- ☐ d. Issued share

[Clear my choice](#)

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Question **72**

Answer saved

🚩 Flag question

Financial enterprises, more popularly referred to as financial institutions, provide a variety of services. Which of the below is NOT one of these?

- ☐ a. Manage the portfolios of other market participants.
- ☐ b. Assist in the creation of financial assets for their customers, and then sell those financial assets to other market participants.
- ☐ c. Transform financial assets acquired through the market and constituting them into a different, and more widely preferable, type of asset—which becomes their liability.
- ☒ d. Exchange financial assets on behalf of customers but not for their own accounts.

[Back](#)Question **73**

Answer saved

 [Flag question](#)

The reason why Governments are intended to increases public expenditure except.

- ☐ a. To achieve the goodwill of the public.
- ☐ b. To check and control constantly communal and political uprisings.
- ☒ c. Since the international politics situation is certain and secure.
- ☐ d. Due to raising trend of prices of goods and services.

[Clear my choice](#)

[Back](#)Question **74**

Answer saved

 [Flag question](#)

Auditors are especially concerned with three aspects of internal control for sales and collection cycle. Which one of the following is not their major concern?

- ☐ a. Controls related with the allowance of uncollectable accounts
- ☒ b. Controls over sales discounts
- ☐ c. Controls that prevent or detect embezzlement
- ☐ d. Controls over cut-off

[Clear my choice](#)[Previous page](#)[Next page](#)



Question **75**

Answer saved

 [Flag question](#)

Which of the following is the feature of a static budget?

- ☒ a. It is remain unchanged irrespective of the level of activity actually attained
- ☐ b. It provides a meaningful basis of comparison of the actual performance with the budgeted targets
- ☐ c. It consists of various budgets for different levels of activity
- ☐ d. It can be re-casted on the basis of activity level to be achieved

[Clear my choice](#)



Question **76**

Answer saved

 Flag question

Which statement is TRUE regarding combined leverage?

- ☒ a. It measures effect of sales on EPS
- ☐ b. It considers only operating costs
- ☐ c. It applies only to equity firms
- ☐ d. It ignores financial costs

[Clear my choice](#)

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Question **77**

Answer saved

Flag question

At the beginning of March 2017, Pacific Electronics had 225 partially assembled units in the assembly department. It started production of another 275 units in March and 400 units are completed and transferred out to testing department. Pacific used two cost category, direct material and conversion cost in assembly department. Based on the above data given, what are the equivalent units of work done to date for direct material under weighted average method of process costing?

- ☐ a. 315 units
- ☐ b. 275 units
- ☒ c. 500 units
- ☐ d. 450 units

[Clear my choice](#)[Previous page](#)[Next page](#)

Question **78**

Answer saved

Flag question

Which tax rate structure describes the Ethiopian tax system?

- ☒ a. Progressive tax system
- ☐ b. Proportional tax system
- ☐ c. Digressive tax system
- ☐ d. Regressive tax system

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Question **80**

Answer saved

Flag question

Which of the following is a characteristic of special revenue fund that differentiates from general fund?

- ☒ a. A special revenue fund is established only if a revenue resource is restricted to expenditure for specific purpose.
- ☐ b. A special revenue fund uses the total economic resources measurement focus.
- ☐ c. A special revenue fund is required to be budgeted on a multi-year basis.
- ☐ d. A public entity may have only one special revenue fund.

[Clear my choice](#)

Question **81**

Answer saved

 [Flag question](#)

Which one of the following is inventoriable cost for manufacturing?

- ☐ a. Utility Expense for sales
- ☒ b. Salary of machine operator
- ☐ c. Advertising flyer
- ☐ d. Salary of sales person

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Question **79**

Answer saved

Flag question

Which one of the following is different from others in terms of its character?

- ☒ a. Direct material price variance
- ☐ b. Direct material yield variance
- ☐ c. Direct material efficiency variance
- ☐ d. Direct material mix variance

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Question **82**

Answer saved

Flag question

On January 1, 2018, Edmondton Inc. purchased equipment with a cost of €4,500,000, a useful life of 12 years and no salvage value. The Company uses straight-line depreciation. At December 31, 2018, the company determines that impairment indicators are present. The fair value less cost to sell the asset is estimated to be €3,850,000. The asset's value-in-use is estimated to be €3,500,000. There is no change in the asset's useful life or salvage value. The 2019 (second year) income statement will report depreciation expense for the equipment of

- ☐ a. €375,000.
- ☐ b. €320,833.
- ☒ c. €350,000.
- ☐ d. €385,000.

[Clear my choice](#)



🚩 Flag question

Which of the following is not one of the key reasons given by the IASB for issuing a standard on fair value measurement?

- ☒ a. To require the use of fair value when accounting for all non-financial assets
- ☐ b. To clarify the definition of fair value and related guidance in order to communicate the measurement objective more clearly;
- ☐ c. To establish a single source of guidance for all fair value measurements required or permitted by IFRSs to reduce complexity and improve consistency in their application;
- ☐ d. To enhance disclosures about fair value to enable users of financial statements to assess the extent to which fair value is used and to inform them about the inputs used to derive those fair values.

[Clear my choice](#)

Question **84**

Answer saved

Flag question

Non-depository institutions would include all of the following except:

- ☐ a. Finance companies
- ☐ b. Pension funds
- ☐ c. Insurance companies
- ☒ d. Credit unions

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Question **85**

Answer saved

Flag question

Which of the following is the least likely to be a relevant item in deciding whether to replace an old machine?

- ☐ a. Life of the new machine
- ☐ b. Outlay to be made for the new machine
- ☐ c. Annual savings to be enjoyed on the new machine
- ☒ d. Acquisition cost of the old machine

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Question **86**

Answer saved

Flag question

Operating leverage is primarily concerned with the relationship between:

- ☐ a. Debt and equity
- ☐ b. Dividends and retained earnings
- ☐ c. Interest and taxes
- ☒ d. Fixed costs

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Question **87**

Answer saved

Flag question

A _____ grants the owner the right to purchase a specified financial instrument for a specified price within a specified period of time.

- ☐ a. sale of a futures contract
- ☐ b. purchase of a futures contract
- ☐ c. put option
- ☒ d. call option

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Question **88**

Answer saved

Flag question

According to the IASB, the main purpose of financial reporting is to enable:

- ☐ a. Control by government.
- ☐ b. The calculation of taxable income.
- ☒ c. Decisions by investors.
- ☐ d. Decisions by managers.

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[Back](#)Question **89**

Answer saved

[Flag question](#)

Which of the following will not be included as financing activities in the statement of cash flows of a public entity?

- ☐ a. Loan from the bank
- ☐ b. Proceeds from the issue of bonds
- ☒ c. Proceeds from disposal of non-current assets
- ☐ d. Cash repayment of bond

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Question **90**

Answer saved

Flag question

Why does IFRS prohibit the use of LIFO?

- ☐ a. It overstates inventory value
- ☐ b. It is too complex to apply
- ☒ c. It does not reflect the actual physical flow of goods
- ☐ d. It violates revenue recognition principles

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Question **91**

Answer saved

Flag question

Which one of the following the characteristic of Plant asset?

- ☒ a. All
- ☐ b. acquired for use in the normal operation of the business
- ☐ c. not intended for sale to customers/for investment
- ☐ d. useful life of more than one year

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Question **92**

Answer saved

Flag question

In a business combination, costs of registering equity securities to be issued by the acquiring company are a

- ☐ a. Direct addition to stockholders' equity of the combined company.
- ☒ b. Reduction of the recorded value of the securities.
- ☐ c. Expense of the combined company for the period in which the costs were incurred.
- ☐ d. Addition to goodwill.

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Question **93**

Answer saved

Flag question

Which of the following cases will apply IFRS 11?

- ☐ a. Assume an arrangement in which A and B each have 35 per cent of the voting rights in the arrangement with the remaining 30 per cent being widely dispersed. Decisions about the relevant activities require approval by a majority of the voting rights.
- ☐ b. Two parties establish a separate legal entity in which each has 50% of the voting rights (and equivalent power) over the investee's relevant activities and there is no contractual arrangement.
- ☒ c. Assume an arrangement has three parties: A has 50 per cent of the voting rights in the arrangement and B and C each have 25 per cent. The contractual arrangement between A, B and C specifies that

Question **94**

Answer saved

Flag question

If an investor purchases a stock one business day before the ex dividend date, which of the following statements is correct?

- ☐ a. The investor will receive the dividend only if they also own the stock on the date of record.
- ☐ b. The investor's broker will decide whether the dividend is received.
- ☐ c. The investor will not receive the dividend because the trade settles after the ex dividend date.
- ☒ d. The investor will receive the dividend because they own the stock before the ex dividend date.

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Question **95**

Answer saved

Flag question

Which one of the following is not the required disclosure in IPSAS 24 (i.e., the presentation of budget information)?

- ☐ a. Style of financial statement preparation.
- ☐ b. Material differences between the budget and actual amounts.
- ☒ c. Reason for policy shift.
- ☐ d. Period of the approved budget.

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Question **96**

Answer saved

Flag question

Under MM Theory (without tax), what is the effect of capital structure on firm value?

- ☐ a. Firm value increases with more debt
- ☐ b. Firm value depends only on equity
- ☒ c. Firm value is independent of capital structure
- ☐ d. Firm value decreases with more debt

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Question **97**

Answer saved

Flag question

The percentage-of-completion method

- ☒ a. recognizes revenue and gross profit each period based upon progress.
- ☐ b. recognizes revenue and gross profits only when contract is completed.
- ☐ c. is used primarily for short-term contracts.
- ☐ d. accumulates construction costs in the Billings on Construction in Progress account.

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Question **98**

Answer saved

[Flag question](#)

Prior to being united in a business combination, Atkins, Inc., and Waterson Corporation had additional paid-in capital 90,000 and 20,000, and retained earnings of 300,000 and 110,000, respectively. Atkins issues 51,000 new shares of its common stock valued at \$3 per share for all of the outstanding stock of Waterson. Immediately afterward, what are consolidated Additional Paid in Capital and Retained Earnings, respectively?

- ☐ a. \$104,000 and \$300,000.
- ☒ b. \$192,000 and \$300,000.
- ☐ c. \$110,000 and \$410,000.
- ☐ d. \$212,000 and \$410,000.

[Clear my choice](#)



Question 99

Answer saved

Flag question

An electronics store is running a promotion where for every video game purchased, the customer receives a coupon upon checkout to purchase a second game at a 50% discount. The coupons expire in one year. The store normally recognized a gross profit margin of 40% of the selling price on video games. How would the store account for a purchase using the discount coupon?

- ☐ a. The difference between the cost of the video game and the cash received is recognized as premium expense.
- ☒ b. Premium expense is not recognized.
- ☐ c. The reduction in sales price attributed to the coupon is recognized as premium expense.
- ☐ d. The difference between the cost of the video game and the selling price prior to the coupon is recognized as premium expense.

Question **100**

Answer saved

Flag question

According to Walter's Model, dividend policy is relevant when:

- ☒ a. Internal rate of return differs from cost of capital
- ☐ b. Taxes are zero
- ☐ c. The firm operates in a perfect market
- ☐ d. Investors are indifferent to dividends

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Question **101**

Answer saved

Flag question

During the year, Popsicle Inc., which uses the allowance method, made an entry to write off a \$4,000 uncollectible account. Before this entry was posted, the balance in accounts receivable was \$80,000 and in the allowance account was \$7,000. The net realizable value of accounts receivable after the write off entry was

- ☐ a. \$76,000.
- ☐ b. \$77,000.
- ☐ c. \$80,000.
- ☒ d. \$73,000.

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Question **102**

Answer saved

Flag question

A contract was entered between Arba Minch City Administration and Chamo real estate Company to build new police station amounted ETB 3,000,000. What would be the correct journal entry for this scenario?

- ☒ a. Debit: Encumbrances.
- ☐ b. Credit: Cash.
- ☐ c. Debit: Reserve for Encumbrances.
- ☐ d. Debit: Construction expenditures.

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Question **103**

Answer saved

Flag question

Which one is the broadest area of Finance?

- ☒ a. Financial management
- ☐ b. Investments
- ☐ c. Money Markets
- ☐ d. Capital Markets

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What is the reason for government involvement in Commercial activities?

- ☒ a. The government wanted to fulfill a community service obligation.
- ☐ b. The private sector was seen as capable of delivering the required products.
- ☐ c. The government considered it appropriate to own a firm that operated as a competitive with the private
- ☐ d. The community considered it appropriate that government should own a firm that operated as a competitive with the private

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[Back](#)Question **105**

Answer saved

[Flag question](#)

Assume that the auditor tests the ABC company sales transaction. The sale of Br. 100,000 was recorded in sales transaction fill but there is no customer order for this particular sale. Which substantive transaction related audit objective is violated?

- ☐ a. Timing
- ☐ b. Accuracy
- ☒ c. Existence
- ☐ d. Completeness

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Question **105**

Answer saved

Flag question

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- ☐ b. Accuracy
- ☒ c. Existence
- ☐ d. Completeness

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Question **106**

Answer saved

Flag question

ABC Company had the following data for the current year: Work in Process, beginning balance 110,000, direct materials used in production 45,000, actual overhead 60,000, Work in Process (ending) balance 30,000, Cost of goods manufactured 235,000. Determine the amount of direct labor cost incurred during the year.

- ☐ a. 35,000
- ☐ b. 45,000
- ☐ c. 40,000
- ☒ d. 50,000

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[Back](#)Question **107**

Answer saved

[Flag question](#)

Which of the following is a key function of the Ethiopian Securities Exchange (ESX)?

- ☐ a. Collecting tax revenues from businesses
- ☐ b. Setting interest rates for commercial banks
- ☒ c. Providing a platform for companies to raise capital by issuing securities
- ☐ d. Printing currency for the national economy

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[Back](#)Question **107**

Answer saved

[Flag question](#)

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Answer saved

[Flag question](#)

Those financial markets that facilitate the flow of short-term funds are known as

- ☒ a. money markets.
- ☐ b. capital markets.
- ☐ c. primary markets.
- ☐ d. secondary markets.

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Question **108**

Answer saved

Flag question

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- ☐ c. primary markets.
- ☐ d. secondary markets.

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Question **109**

Answer saved

Flag question

Of the following, which is the least persuasive type of audit evidence?

- ☒ a. Carbon copies of sales invoices inspected by the auditor
- ☐ b. Computations made by the auditor
- ☐ c. Documents obtained by auditor from third parties directly
- ☐ d. Bank statements obtained from the client

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Question **110**

Answer saved

Flag question

Anthony invested a sum of money 5 yr. ago in a savings account that has since paid interest at the rate of 8%/year compounded quarterly. His investment is now worth Birr 22,289.22. How much did he originally invest?

- ☒ a. 15,000
- ☐ b. 13,000
- ☐ c. 11,000
- ☐ d. 10,000

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Which one of the following is wrong?

- ☒ a. While the risk affects the decision of the capital structure the return is not
- ☐ b. The pecking order theory suggests that the capital structure decision is affected by the management's choice of the sources of capital.
- ☐ c. According to the Modigliani Miller capital structure theory, the structure of the capital does not affect the overall cost of capital rather the cost of capital only affected by business risks
- ☐ d. A firm's optimal capital structure is achieved when the debt-equity ratio that results in the minimum possible weighted average cost of capital.

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[Back](#)Question **112**

Answer saved

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Which of the statements best describes a relationship between sample size and other elements of auditing?

- ☒ a. If the desired level of assurance increases, sample size can be smaller.
- ☐ b. If materiality increases, so will be sample size
- ☐ c. There is no relationship between sample size and materiality or the desired level of assurance
- ☐ d. If materiality decrease, sample size will need to increase

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Question **113**

Answer saved

Flag question

Goods are purchased at VAT inclusive price of Br. 180,150. The amount of input VAT on this transaction is

- ☐ a. Br.21,750.00
- ☒ b. Br. 23,497.47
- ☐ c. Br. 22,497.47
- ☐ d. Br.27,497.47

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